

Question 35 · Unit 2 · 8 Marks

Evaluate the effectiveness of using potential appraisal together with performance appraisal for employee development.

Answer

Using both is more effective than using either alone, provided they are distinct yet linked.

- 1. Different questions:** Performance appraisal asks ‘How well is the present job done?’ Potential appraisal asks ‘How far can the person go?’
- 2. Avoids the star-performer trap:** Excellent specialists may fail as managers if promoted only on performance.
- 3. Richer development plans:** High performance + high potential → leadership path; high performance + limited potential → specialist excellence path; low performance + high potential → coaching and role fit.
- 4. Fairness:** Employees understand why some get stretch roles; criteria are dual, not arbitrary.
- 5. Risks:** If potential is secretive or biased, it creates politics. If both are done by the same untrained boss in one sitting, they collapse into one rating.
- 6. Conditions for effectiveness:** Separate tools/time, trained assessors, feedback to the employee, and career actions that follow.
- 7. Evidence logic:** Combined use supports succession accuracy and targeted training ROI.
- 8. Evaluative conclusion:** Joint use is highly effective for development when methodologically separated and ethically feedback-based; otherwise it is ineffective or harmful.

Conclusion. *Evaluation therefore favours combined performance-plus-potential appraisal as a superior HRD design when quality and transparency are ensured.*